Preparer Review Memo - 2024 Form 1040, Robert & Lisa Smith

To: Senior accountant | From: Tax preparer | Status: DRAFT for review, not approved for e-file. Companion to Smith_2024_Form1040_Efile_Package.pdf.

1. Result

Total income / AGI / taxable income	361,246 / 360,946 / 331,703	
Total tax (Form 1040 line 24)		58,571
Total payments (line 33)		43,192
BALANCE DUE (line 37), excluding any underpayment penalty		15,379

The clients owe a balance because the three jobs' withholding and the four estimates ($13,685) fell short of the tax, which includes $2,232 of Additional Medicare Tax and net investment income tax. Clients should be told the amount and that a penalty may follow (item 3).

2. Forms in the e-file package and why

Form 1040	Required
Schedule 1	Educator expense adjustment ($300)
Schedule 2	Additional Medicare Tax (Form 8959) and NIIT (Form 8960)
Schedule 3	Foreign tax credit, child care credit, excess Social Security tax withheld
Schedule B	Ordinary dividends $6,744 exceed $1,500
Form 8949 / Schedule D	Two 1099-B sales; wash-sale adjustment requires 8949
Form 8995	QBI deduction on Section 199A dividends
Schedule 8812	Child tax credit, three children under 17
Form 2441	Child care credit - two qualifying children
Form 8959 / Form 8960	See above

Considered and not included: Schedule A (standard deduction is higher - see item 2); Form 1116 (foreign tax $211 is under the $300 MFJ direct-credit limit); Form 6251 (tentative minimum tax about $55,736 is below regular tax of $62,878); Form 2210 (not required to be attached; see item 3); Form 8863 (no college); Form 8888/refund routing (balance due); Form 8938/FBAR (no foreign accounts); Form 8879 e-file signature authorization is a firm/e-file document, not transmitted with the return - needed before filing.

3. Items for senior review (ranked by dollar impact)

1. Lisa W-2 box 12a - possible excess elective deferral

Box 12a shows $26,406.43 but the code letter is not legible, and box 13 retirement plan is checked. Box 3 and 5 equal box 1 plus 12a, so it is a pre-tax elective deferral (401(k)/403(b)/457(b)). The 2024 limit is $23,000 (Lisa is 48, so no age-50 catch-up; a 403(b) 15-year special catch-up would raise it to $26,000 at most). If the code is D, E or G the apparent excess is $3,406.43 (or $406.43 if the 403(b) catch-up applies). **I did not add any amount to income** - the code and any employer corrective distribution are unknown. If an excess stands, it is taxable for 2024 and the Form 1040 income and tax rise (about $817 at 24% on $3,406). Ask the client/employer for the plan type and whether a corrective distribution was made (due 4/15/2025); a 2025 Form 1099-R would follow.

2. Standard vs. itemized deduction

Itemized: mortgage interest $17,679 (Form 1098; principal $565,774 is under $750,000) + real estate taxes $6,748 (from 1098 box 10; assumed paid in 2024) + charity $4,300 ($2,500 Red Cross + 12 x $150 church) = **$28,727**, which is $473 below the $29,200 standard deduction, so standard is used. Texas has no state income tax. The clients could instead deduct state and local *general sales tax* under the IRS table (SALT cap $10,000; only $3,252 of room beyond property tax). If sales tax from the IRS Sales Tax Deduction Calculator exceeds $473, itemizing wins. I have no offline access to the table and did not invent a figure. **Recommend running it before filing;** if used, add Schedule A (no other change to the package). Also, charity needs written acknowledgments (Red Cross gift and the church total, each over $250); none were in the file. Medical: LTC premiums are $5,500 each but the age-based limit is $960 each (ages 49 and 48), $1,920 total, far below the 7.5% of AGI floor ($27,071) - no deduction either way.

3. Underpayment of estimated tax (Form 2210)

Total payments are $43,192 against tax of $58,571, i.e. 74% - below the 90% test. Installments were paid 4/2, 7/4 (due 6/17), 10/2 (due 9/16) and 1/5/2025 (due 1/15); the 1/5/2025 payment counts toward 2024. The prior-year (2023) return was not provided, so the 100%/110% prior-year safe harbor could not be tested. If it is not met, my regular-method estimate (withholding treated as paid evenly, rates 8% for 2024 and 7% for 2025) is roughly **$506**. Line 38 is left blank so the IRS computes the penalty; the balance due in line 37 does not include it. If the prior-year safe harbor applies, no penalty. Please obtain 2023 total tax and AGI to finalize and decide whether to attach Form 2210.

4. Lisa 1099-B wash sale adjustment

Box 1g shows $468.41 disallowed wash sale loss on a sale at a $32,609 gain. A wash sale adjustment normally applies only to a loss sale. I reported the form as issued (Code W, +$468, gain $33,077) because the amount is reported to the IRS and the IRS matches it. If the broker confirms an error, the long-term gain falls by $468 (tax effect about $90 at 15% plus 3.8% NIIT). Ask the client to get a corrected 1099-B or broker explanation.

5. Bob 1099-B: proceeds $56.78 vs. basis $6,750.88

A $6,694 short-term loss on 11 shares sold for $57 is unusual (possible typo or a worthless-security sale). Reported as issued; confirm with the client. Loss is fully used against Lisa's long-term gain; no carryover.

6. Excess Social Security tax (Schedule 3 line 11)
Bob worked for two employers: Social Security tax withheld $14,566 exceeds the 2024 maximum of $10,453 (6.2% x $168,600) by $4,113, claimed as a refundable credit. Verified W-2 box 4 = 6.2% x box 3 for each employer. Employer is not required to refund - correct to claim on the return.

7. Child and dependent care credit
Only Robert III and Melissa (age 6) qualify; Judith turned 14 in 2024. Statement total $2,240 less Judith $600 = $1,640 qualified; 20% credit = $328 (no dependent care FSA on any W-2). The provider's EIN 45-4564564 is entered; the statement is not on an IRS form, so confirm the provider name/address on file.

8. Student loan interest and educator expense
Student loan interest ($4,312, Form 1098-E) is fully phased out (MAGI over $195,000). Educator expenses: $730 claimed by client; only $300 allowed. The $430 excess is not deductible (unreimbursed employee expenses are not allowed for 2018-2025).

9. Foreign tax credit and QBI
Lisa's 1099-DIV reports foreign tax $211.05 (country 'various'). Elected the direct credit without Form 1116 (qualified passive income, under $300). Section 199A dividends of $215 produce a $43 deduction on Form 8995 - assumes the fund holding-period requirement is met.

10. Source-document discrepancies / open facts
(a) LTC letter shows ZIP 78523; all other documents and the intake show 78253 - used 78253. (b) Lisa's dividend payer TIN reads 11-75252525 (10 digits) - the 1099-DIV shows the TIN with a typo; interest 1099s show 11-7525252. No effect on the return, but correct before e-file if the software validates payer TINs. (c) Bob's 1099-INTs and W-2s show 'Robert Smith Jr.'; the 1099-B shows 'Robert Smith'; Lisa's 1099-DIV shows 'Lisa M Smith' - SSNs agree. (d) Childcare statement lists 'Robert', 'Melissa', 'Judith'; intake uses 'Robert Smith III'. (e) Medicare tax withheld on Bob's Companix W-2 reads $1,920.74 on the image (text layer reads .77); used $1,920.74, which is 1.45% of box 5. (f) Presidential Election Campaign fund and the third-party designee were not addressed on the intake; left blank/No. (g) Prior-year return, capital loss carryover and children's citizenship were not provided; assumed no carryover and that all are U.S. citizens (intake says the taxpayers are). (h) The 1098 and 1099-INT from TX Lending share EIN 11-7654321 - mortgage interest $17,678.69 was not offset by any refund of overpaid interest (box 4 blank). (i) Direct deposit declined - not applicable because a balance is due.

4. Support - Qualified Dividends and Capital Gain Tax Worksheet (Form 1040 line 16)

1	Taxable income	331,703
2	Qualified dividends	4,898
3	Smaller of Schedule D line 15 or 16	26,383
4	Add lines 2 and 3	31,281
5	Investment interest expense	0
6	Subtract line 5 from 4	31,281
7	Subtract line 6 from 1	300,422
8	0% bracket limit (MFJ)	94,050
9	Smaller of 1 or 8	94,050
10	Smaller of 7 or 9	94,050
11	Subtract 10 from 9 (taxed at 0%)	0
12	Smaller of 1 or 6	31,281
13	Line 11	0
14	Subtract 13 from 12	31,281
15	15% bracket limit (MFJ)	583,750
16	Smaller of 1 or 15	331,703
17	Add 7 and 11	300,422
18	Subtract 17 from 16	31,281
19	Smaller of 14 or 18	31,281
20	15% x line 19	4,692
21	Add 11 and 19	31,281
22	Subtract 21 from 12	0
23	20% x line 22	0
24	Tax on line 7 (2024 MFJ rate schedule: 10/12/22/24%)	58,186
25	Add 20, 23, 24	62,878
26	Tax on line 1 at regular rates	65,694
27	Tax - smaller of 25 or 26 (Form 1040 line 16)	62,878

5. Tie-out of source documents to return

W-2 Companix (Bob) box 1 / box 2	132,465.05 / 9,642.23	1040 1a / 25a
W-2 Zixbo (Bob) box 1 / box 2	102,468.69 / 7,465.85	1040 1a / 25a
W-2 Compress MS (Lisa) box 1 / box 2	92,068.87 / 8,286.20	1040 1a / 25a
1099-INT Yellow Rose (Bob) / TX Lending (Bob) / Yellow Rose (Lisa)	39.99 / 107.88 / 968.22	Schedule B line 1 = 1,116
1099-DIV (Lisa) box 1a / 1b / 5 / 7	6,744.05 / 4,897.86 / 214.79 / 211.05	1040 3b, 3a; 8995; Sch 3 line 1
1099-B Bob (ST) / Lisa (LT)	(6,694.10) / 33,077.44 incl. W 468.41	Form 8949, Schedule D, 1040 line 7 = 26,383
1098 mortgage interest / RE tax	17,678.69 / 6,748.32	Not itemized (item 2)
1098-E student loan interest	4,312	Phased out (item 8)
Estimated payments	3,380 + 3,275 + 3,455 + 3,575	1040 line 26 = 13,685
Childcare statement	2,240 total; 1,640 qualified	Form 2441
LTC premiums	5,500 each	Not deductible (item 2)

6. Cross-checks performed: total income 327,003 + 1,116 + 6,744 + 26,383 = 361,246; AGI 360,946; taxable income 331,746 - 43 = 331,703; line 21 credits 6,000 + 539 = 6,539; line 22 56,339 + Schedule 2 2,232 = 58,571; payments 25,394 + 13,685 + 4,113 = 43,192; balance due 15,379. Every form's carry-forward line was re-read against the 1040 and agrees. Forms are shown in line-by-line facsimile format using 2024 IRS line numbers because blank official forms were not available offline; the figures should be keyed into the e-file software, which will generate the official forms, and any line-number difference corrected at that time.